

The above image shows how the pin bar pattern is formed. It consists of a small body (bullish or bearish) and a long wick at the top. This long wick indicates the dominance of strong sellers.



Image 4.7 – Pin bar Pattern in Banknifty

Image 4.7 shows Banknifty 15-min chart of 3rd and 4th June 2021.

On 4th June, the second and fourth candles displayed pin bars at the previous day high (PDH), and price action at PDH indicates there is a high probability of PDH acting as resistance. Later price fell to the downside.